PropXcel

From Research to Results

Investment Property Modelling & Strategy Guide

Cash Flow · Capital Growth · Exit Planning

A comprehensive framework for Australian property investors to model, analyse, and optimise their portfolios.

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Chapter 1: Property Details & Initial Investment

Before any modelling begins, you must capture the **full cost of acquisition**. Many investors underestimate upfront costs, which distorts cash-flow projections from day one.

1.1 Core Property Information

Item	Description	Example ($500K Property)
Purchase Price	Agreed sale price	$500,000
Stamp Duty	State government tax (varies)	~$21,330 (VIC)
Legal / Conveyancing	Solicitor fees	$1,500 – $2,500
Building & Pest Inspection	Pre-purchase due diligence	$400 – $700
Loan Establishment Fee	Lender application fee	$300 – $600
Total Upfront Cost	**Full initial outlay**	**~$525,000**

■ **PropXcel Tip:** Always use an online stamp duty calculator for your specific state before running projections. Stamp duty can vary significantly — for example, first-home buyers in Victoria may qualify for exemptions or concessions up to $750,000.

1.2 Initial Outlay Formula

Initial Outlay = Deposit + Stamp Duty + All Acquisition Fees

The **deposit** is typically 20% of purchase price (to avoid Lenders Mortgage Insurance). With a 20% deposit on $500K, your cash outlay is approximately **$125,330**.

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Chapter 2: Cash Flow Modelling

Cash flow is the lifeblood of a sustainable property portfolio. Understanding whether your property is **positively geared** (cash surplus) or **negatively geared** (cash deficit) is fundamental to managing your investment strategy.

2.1 Rental Income

Component	Calculation	Example ($520/wk rent)
Gross Annual Rent	Weekly Rent × 52	$27,040
Vacancy Allowance (3.5%)	Gross Rent × Vacancy %	– $946
Effective Rental Income	Gross Rent – Vacancy	$26,094

2.2 Annual Expenses Breakdown

Expense Item	Typical Rate	Example (Annual)
Property Management	7.5% of gross rent	$2,028
Council Rates	Fixed / location-based	$1,400
Water Rates	Fixed / usage-based	$800
Insurance (Landlord)	Annual premium	$1,200
Repairs & Maintenance	0.5–1% of property value	$2,500
Land Tax	State-dependent threshold	$0 – $2,000+
Strata / Body Corporate	If applicable	$1,500 – $5,000
Total Expenses (est.)		**$9,428**

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2.3 Net Cash Flow Chart

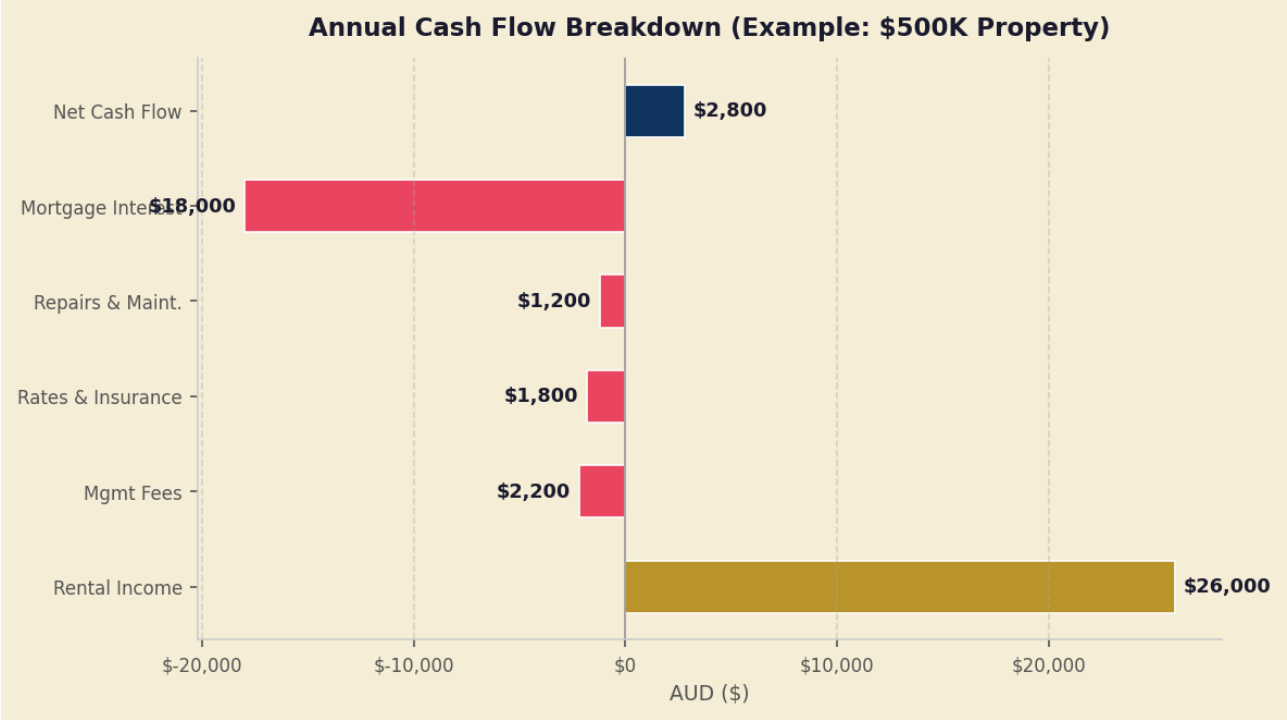

Figure 1: Annual cash flow breakdown for an illustrative $500,000 investment property.

Net Cash Flow Formula

Net Cash Flow = Rental Income – All Expenses – Mortgage Interest

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Chapter 3: Tax Considerations

Tax strategy is one of the most powerful — and often overlooked — levers for property investors. Understanding **depreciation**, **negative gearing**, and **CGT discounts** can transform the financial profile of a property.

3.1 Depreciation (Division 40 & 43)

A **Quantity Surveyor** prepares a depreciation schedule, allowing you to claim non-cash deductions that reduce your taxable income without impacting cash flow. This is one of the most effective wealth-building tools available to property investors.

Division	What It Covers	Typical Annual Deduction
Division 40 (Plant & Equipment)	Appliances, carpet, blinds, hot water systems	$2,000 – $5,000
Division 43 (Building Allowance)	Concrete structure, brickwork (2.5% p.a.)	$4,500 – $9,000
Total Depreciation	**Combined estimate (new build)**	**$6,500 – $14,000+**

3.2 Negative vs Positive Gearing

	Negative Gearing	Positive Gearing
Definition	Expenses exceed rental income	Income exceeds all expenses
Tax Impact	Loss offsets other income → reduces tax	Additional taxable income
Cash Flow	Short-term cost to investor	Immediate cash surplus
Best For	High-income earners, capital growth markets	Cash-flow focused investors
Risk Profile	Relies on capital growth to profit	Lower reliance on growth

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Chapter 4: Capital Growth & Equity Build-up

Capital growth is often the primary driver of long-term wealth in Australian property. While rental income provides cash flow, it is the **compounding appreciation in value** over time that builds significant equity.

4.1 Capital Growth Formula

$$\text{Future Value} = \text{Purchase Price} \times (1 + \text{Annual Growth Rate})^{\text{Years Held}}$$

4.2 Growth Projections Chart

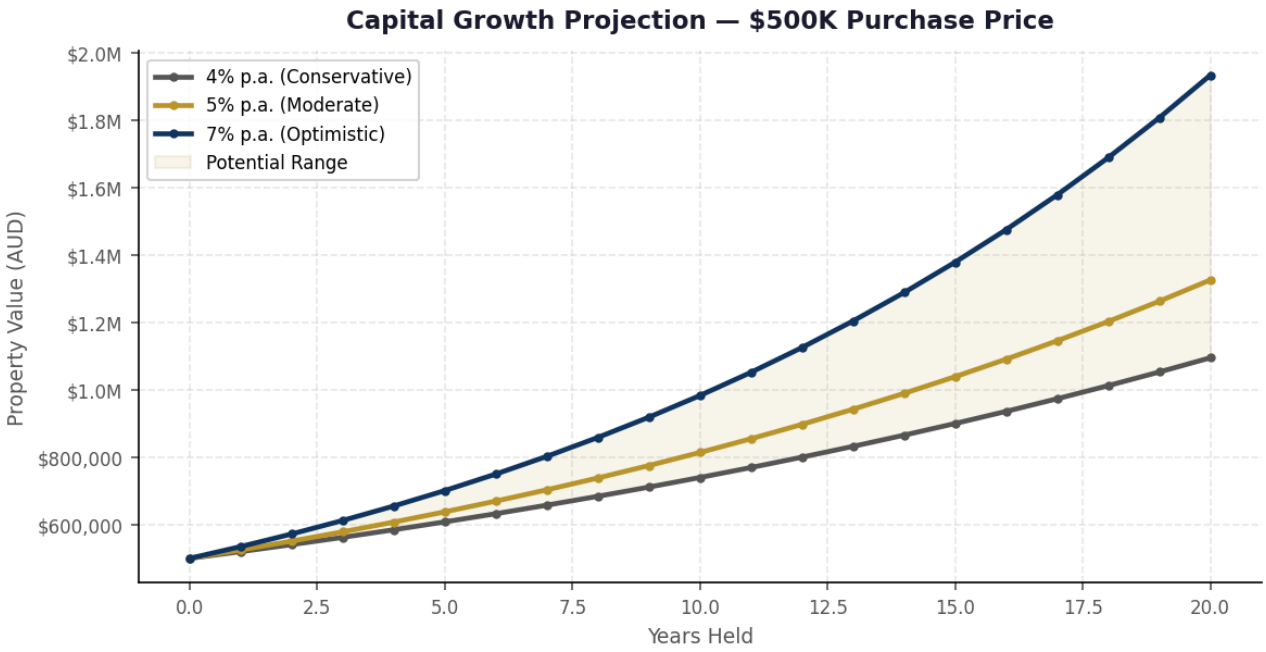

Figure 2: Projected property value over 20 years for a $500,000 purchase at three growth scenarios.

4.3 Growth Projection Summary Table

Year	4% p.a.	5% p.a.	7% p.a.
1	$520,000	$525,000	**$535,000**
3	$562,432	$578,813	**$612,520**
5	$608,326	$638,141	**$701,276**
10	$740,122	$814,447	**$983,576**
15	$900,472	$1,039,464	**$1,378,511**
20	$1,095,562	$1,326,649	**$1,934,303**

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4.4 Yield Comparison by City

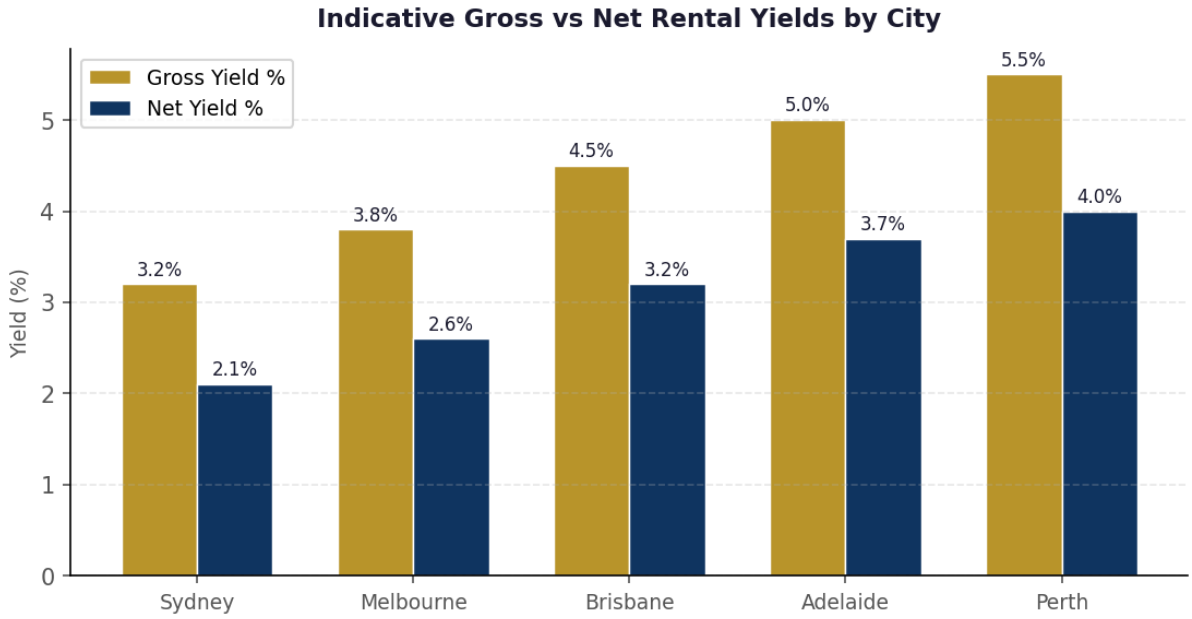

Figure 3: Indicative gross and net rental yields across major Australian capital cities.

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Chapter 5: Exit Strategy & CGT Planning

A well-planned exit can be the difference between a good investment and a great one. Timing your sale, understanding your CGT obligations, and calculating net proceeds accurately are essential steps before any divestment decision.

5.1 Exit Strategy Modelling Steps

Step 1: Estimate Sale Price

Use the capital growth formula to project a future sale price based on your assumed growth rate and holding period.

Step 2: Calculate Selling Costs

Agent commissions (typically 2–3%), legal and conveyancing fees, and marketing costs all reduce net proceeds.

Step 3: Determine Loan Balance

Use a loan amortisation schedule to identify the outstanding principal at the time of sale.

Step 4: Calculate CGT

CGT = (Sale Price – Cost Base) × Marginal Tax Rate. If held >12 months, a 50% CGT discount applies to individuals.

Step 5: Calculate Net Proceeds

Net Proceeds = Sale Price – Selling Costs – Loan Balance – CGT Payable

5.2 Net Proceeds Chart (10-Year Exit Example)

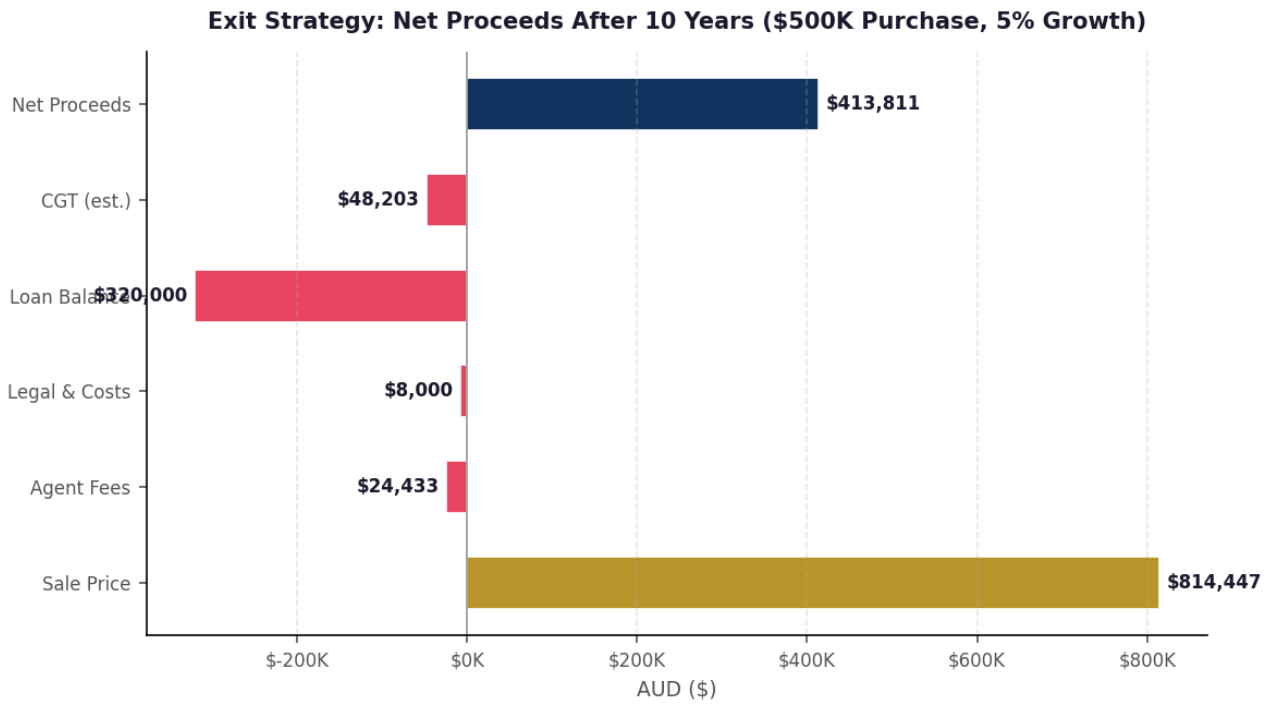

Figure 4: Illustrative exit strategy breakdown — $500K purchase, 5% p.a. growth, sold after 10 years.

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5.3 CGT Calculation Example

Component	Calculation	Amount
Sale Price (10yr, 5% growth)	500,000 × 1.05^{1}■	$814,447
Less: Cost Base	Purchase price + costs	– $525,000
Gross Capital Gain		$289,447
Less: 50% CGT Discount	Held > 12 months	– $144,724
Taxable Capital Gain		$144,724
CGT Payable (@ 33% MTR)	**$144,724 × 0.33**	**~ $47,759**

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Chapter 6: Key Financial Metrics

Professional investors use a consistent set of metrics to evaluate, compare, and communicate property investment performance. Mastering these numbers separates disciplined investors from those who rely on gut feel.

Metric	Formula	Example Value
Gross Yield	Annual Rent ÷ Purchase Price × 100	5.2%
Net Yield	Net Cash Flow ÷ Purchase Price × 100	3.3%
Cash-on-Cash Return	Net Cash Flow ÷ Initial Cash Outlay × 100	2.2%
Equity (LVR-based)	Property Value – Loan Balance	$264,447
IRR	Discounted return over entire hold period	8.4% (est.)
NPV	Present value of all future cash flows	$42,300 (est.)

■ **PropXcel Recommendation:** Build your model in Excel or Google Sheets and calculate all six metrics for each property you analyse. The best investment is not always the one with the highest yield — balance yield with capital growth potential and your personal tax situation.

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